Day 7 - Module 1 Study Guide

Unit 26 - Florida Laws and Rules Pertinent to Life and Health Insurance

This study guide provides comprehensive and structured content, allowing you to cover the exam topics systematically to help you organize your study plan and ensure you don't miss any crucial concepts. There are spaces available within the study guide for you to type or write in notes on specific topics as you learn more about them in the instructor-led live lecture sessions.

Module Objectives

- **Course Objective:** Recognize Florida statutes, rules, and regulations
- **Learning Objective:** Identify Florida laws common to all lines

Questions I Should Be Able to Answer Using This Study Guide

- What are the Department of Financial Services' primary responsibilities?
- What are the responsibilities of the Office of Insurance Regulation?
- What are the general responsibilities of the Office of Financial Regulation?
- List examples of insurance transactions.
- What are the consequences related to acting as an insurer without a certificate of authority?
- What is the purpose of agent licensing?
- What does the term agent mean?
- How long can an insurance agent work without being hired by a company?
- How many hours of continuing education must an insurance agent with fewer than six years of experience complete?
- How soon must the agent inform the department of any changes to his contact details?
- How does the licensing of insurance agencies compare with the licensing of individual agents?
- How much time does an agent have to notify the department after entering a guilty plea to a felony?
- Describe an agent's fiduciary obligations.
- Why was the Life and Health Insurance Guaranty Association established?
- How do impaired and insolvent insurers differ from one another?

- Compare sliding, controlled business, twisting, churning, illegal rebates, and other unfair methods of competition.
- What rules are in place to govern life, health, and annuity advertising?

I. Department of Financial Services

- What are the Department of Financial Services' primary responsibilities? *(Reading: 26.1, 26.2)*

    - The **Department of Financial Services (DFS)** regulates the insurance sector in compliance with the Insurance Code's rules.

        - DFS is under the control of the **Chief Financial Officer (CFO)**.

        - The CFO is the head of the DFS, an elected official, and oversees 15 divisions and offices.
            - Division of Unclaimed Property, Division of Rehabilitation & Liquidation, Division of Insurance Agent and Agency Services
            - Office of Financial Regulation and Office of Insurance Regulation
            - CFO does not issue injunctions. These are issued by the circuit court.
    - The **Financial Services Commission** manages the **Office of Insurance Regulation** and the **Office of Financial Regulation**.

    - The Commission is made up of the Governor, Attorney General, CFO, and the
        - Commissioner of Agriculture (NOT the commissioner of OIR)
    - One of the numerous responsibilities of the Commission is to name the **Insurance Commissioner**.

Remember!
• The CFO and the Insurance Commissioner are not the same person. • The Financial Services Commission appoints the Insurance Commissioner, who heads the Office of Insurance Regulation (OIR).

General Duties and Powers of the Department and respective offices include the following: (Reading 26.2.1)
- Enforcement of the Insurance Code and carrying out those duties set forth by the code.
- The conduction of any insurance investigation expressed in the code, determine if a person has violated the code or obtain information to administer the code.
- Collect, propose, publish, or disseminate information regarding the duties imposed upon it by the code.
- Additional powers and duties as provided by other laws of the state.

Policyholders' Rights (Reading 26.2.2) have several important rights designed to protect their interests and ensure fair treatment by insurance companies including some of the following:

- Right to competitive pricing practices and marketing methods that enable them to determine the best value among comparable policies

- Right to obtain comprehensive coverage

- Right to an insurance company that is financially stable

- Right to be serviced by a competent, honest insurance agent or broker

- Right to a readable policy

Notes

Use this space to take additional notes on this topic during the live lesson.

II. Office of Insurance Regulation

- What are the responsibilities of the Office of Insurance Regulation? *(Reading: 26.1.2.2, 26.3)*
  - **The Office of Insurance Regulation (OIR)** oversees insurers and other risk bearing companies. Some of their primary responsibilities include:
    - Company organization and licensing
    - Enforcing laws against illegal insurance activity
  - This office is headed by the **Insurance Commissioner**, who is named by the Financial Services Commission.
    - The Insurance Commissioner monitors company filings and pricing.

Policy Approval Authority, Rates and Forms (Reading 26.3.1):

Forms include basic insurance policies, applications, annuity contracts, group certificates of insurance, endorsements, riders and renewal certificates.

Unless filed and approved by the office, no form can be delivered. In addition, insurers may not deliver, issue for delivery or renew and health insurance policy form until it has been filed a copy of every applicable rating manual, rating schedule, change in rating manual or rating schedule with the office. Forms can always be withdrawn from prior approval.

Market conduct examinations are thorough reviews conducted by state insurance regulators to ensure that insurance companies comply with laws and regulations and treat consumers fairly. (Reading 26.3.2)

Administrative Actions of the Office of Insurance regulation include (26.3.3):

- The organization and licensing of companies
- Policing against unauthorized insurers
- Continued regulation of insurance company activities, including policy forms, provisions and rates
- Monitoring the financial condition of insurance companies

Investigations (Reading 26.3.4): If it is suspected that any person has violated or is violating any provision of the insurance code the Department of Financial Services or Office of Insurance Regulation will investigate. Accounts, records, transactions relating to insurance affairs of any agent, adjuster, insurance agency, and more can be subject to investigations.

Notes

Use this space to take additional notes on this topic during the live lesson.

III. Office of Financial Regulation

- What are the general responsibilities of the Office of Financial Regulation? *(Reading: 26.4)*
  - All the state's financial institutions, their subsidiaries, and service businesses are under the control of the Office of Financial Regulation.

Notes

Use this space to take additional notes on this topic during the live lesson.

IV. Definitions *(Reading: 26.5)*

- List examples of insurance transactions. *(Reading: 26.5)*
  - **Insurance transaction** examples include:
    - The solicitation or encouragement of an insurance purchase
    - The initial discussions regarding the purchase of insurance
    - Putting an insurance contract into effect
    - Other transactions that occur after the effectuation of an insurance contract
- What are the consequences related to acting as an insurer without a certificate of authority? *(Reading: 26.5)*
  - **Certificate of authority**: in Florida, no one may represent themselves as an insurer, directly or indirectly transacting insurance, unless they are in possession of a certificate of authority that has been granted to them by the office.

        - It is a third-degree felony to act without a certificate.

    - **Authorized/admitted companies:** the most important thing to keep in mind is that any Florida-licensed agent who knowingly represents or assists an illegal insurer commits a felony of the third degree.

Remember!
To engage agents to sell insurance, an insurance firm must hold a certificate of authority.

Notes

Use this space to take additional notes on this topic during the live lesson.

V. Licensing

- What is the purpose of agent licensing? *(Reading: 26.6.1)*
    - By demanding a minimal degree of insurance knowledge and competence from licensees, Florida's licensing rules aim to protect the general public.
    - Additionally, licensees are expected to be familiar with Florida insurance laws and rules.
    - Insurance sales without a license are illegal.

- What does the term agent mean? *(Reading: 26.6.2)*
    - The agent includes the following:
        - General lines
        - Life
        - Health
        - Title

- The agent excludes the following:
  - Customer representatives
  - Customer representatives with limited authority
  - Service representative appointments

- How long can an insurance agent work without being hired by a company? *(Reading: 26.6.3)*
  - A person must be licensed and appointed by an insurer to serve as an insurance agent.
    - The agent will lose their license and must reapply as a first-time applicant if they go 48 months without an appointment.
  - **Appointment duration:** appointments are renewed every 24 months.
  - **Licensing conditions:** the candidate must complete 60 hours of pre-licensing coursework.
- **Licensing Requirements (Reading 26.6.4):** In order for an individual to obtain an insurance license, they must first file and sign an application, complete under oath, meet the required qualifications, and pay all applicable fees to the department in advance.
- **License Examination (Reading 26.6.4.3):** An examination to test an applicant's ability, competence and knowledge that must be passed in order to become licensed insurance agents or brokers.

- How many hours of continuing education must an insurance agent with fewer than six years of experience complete in order to maintain their license? *(Reading: 26.6.5.1)*
  - Every two years, a licensee is required to complete 24 hours of continuing education.
    - A 4-hour law and ethics update course are necessary and included as a part of the 24 hours.

- How soon must the agent inform the department of any changes to his contact details? *(Reading 26.6.5.3)*
  - A change in any of the following must be reported to the DFS in writing within 30 days by the licensee:
    - Name
    - Home address
    - Business address
    - Mailing address
    - Phone number
    - Email address

- The licensee will be fined $250 for the first infraction and $500 for any consecutive offenses if they don't comply with this within 30 days.

- How does the licensing of insurance agencies compare with the licensing of individual agents? *(Reading: 26.6.5.7)*
    - Licensing of insurance agencies: a license is required for an insurance agency.
        - The agency does not need to obtain an agent license if it is owned and operated by a single licensed agent who operates in their own name and does not employ or use other licensees.
        - A branch location is not required to have a license if the branch location conducts business under the name and federal tax ID of a licensed agency and is managed by a licensed agent.

> **Remember!**
>
> Insurance agencies are obligated to obtain licenses, just like insurance agents must.

- How much time does an agent have to notify the department after entering a guilty plea to a felony? *(Reading: 26.6.6)*
    - An agent who has been charged with a felony may have their license suspended by the Department of Financials Services.
    - Furthermore, the DFS possesses the power to decline, suspend, revoke, or initiate administrative measures against a license for practicing or engaging in any regulated profession within any state, country, territory, or district of the United States. This authority also extends to other courts or legitimate agencies.
    - For example, an agent's license may be suspended or revoked for failing to notify the DFS in writing within 30 days of pleading guilty to or being found guilty of a felony.
        - If it is discovered that the agent improperly offered insurance products to anyone 65 and older, their license may be canceled.

Notes

Use this space to take additional notes on this topic during the live lesson.

VI. Responsibilities of an Agent

- Describe an agent's fiduciary obligations. *(Reading: 26.7)*
  - A person in a position of special trust and confidence is referred to as a fiduciary. All fees paid by insurers, including premiums and return fees, are held in trust by the licensee in their fiduciary capacity.
    - **Record retention:** policy documents, summaries, and endorsements must be kept by the licensed agent for at least five years following the policy's expiration.
    - **Compensation:** in exchange for soliciting or negotiating insurance, no one other than a licensed and appointed agent may collect any commission or other valued pay.
    - **Designations:** a designation suggests or indicates that the licensee possesses unique knowledge or training in consumer advice or service above and beyond the knowledge or training required for the license held.
    - A designation cannot be used legally unless it is received from a body that has made available rules and guidelines for ensuring the expertise of its certificants on particular subject areas.
    - **Code of ethics:** these provide a general framework for defining proper and improper business conduct for insurance agents.

> **Remember!**
>
> The insurance industry is a public trust, and agents and corporations have a duty to the people they are insuring.

Notes

Use this space to take additional notes on this topic during the live lesson.

VII. Fund for Insurance Guaranty

- Why was the Life and Health Insurance Guaranty Association established? *(Reading: 26.8.1)*
  - The **Florida Life and Health Insurance Guaranty Association (FLAHIGA)** safeguards policyholders, insureds, beneficiaries, annuitants, payees, and assignees of insurance policies and contracts from an insurer's breach of contract as a result of impairment or insolvency.
- How do impaired and insolvent insurers differ from one another? *(Reading: 26.8.2)*
  - **Impaired insurer:** an insurer who is experiencing financial difficulties but is not yet insolvent
  - **Insolvent insurer:** an insurer who is unable to pay its claims and has been declared insolvent by a court
- Duties and Powers of Association (26.8.5):
  - Insurance associations, such as state life and health insurance guaranty associations, have several important duties and powers to ensure the stability and reliability of the insurance market.
  - Duties:
    - **Protect Policyholders**: Ensure that policyholders are protected against losses due to insurer insolvency
    - **Claims Handling**: Manage and pay claims for policyholders of insolvent insurers
    - **Maintain Coverage**: Ensure continuous coverage for policyholders when an insurer fails
  - Powers:
    - **Legal Actions**: Enter into contracts, sue or be sued, and take legal actions to recover unpaid assessments or settle claims
    - **Financial Management**: Borrow money, employ necessary personnel, and manage financial transactions
    - **Rate Adjustments**: File for actuarially justified rate or premium increases for policies they cover

Notes

Use this space to take additional notes on this topic during the live lesson.

VIII. Marketing Techniques *(Reading: 26.9)*

Advertising that promotes sales, solicits business, or encourages insurance purchases by mentioning the Insurance Guaranty Association is not allowed. *(Reading: 26.8.8)*

- Compare sliding, controlled business, twisting, churning, illegal rebates, and other unfair methods of competition. (*Reading: 26.9.1)*
    - Unfair tactics of competition, as well as unfair or dishonest activities or practices include the following:
        - **Sliding** refers to the act of giving the impression that a certain product or coverage is required by law when it is not required, or that a certain

product or coverage is included with a purchase when it is not included or charging a client for a specific product or coverage on top of the cost of insurance coverage without the applicant's consent.

- **Unjust discrimination** is the act of knowingly applying any unjust discrimination in life insurance, health insurance, annuity rates, dividends, benefits payable, or any other contract terms and conditions to people with essentially the same risks, the same actuarial class, or equivalent life expectancies.
- No discrimination based on race, color, creed, marital status, sex, or national origin is permitted by insurers
- **Promotional goods:** the maximum value of permitted gifts to clients and prospects is $100.
- **Counterfeit signature** refers to the act of submitting a fake or fraudulently signed insurance application or policy-related document to an insurer on behalf of a customer is not allowed.
- **Managed business** refers to situations in which an agent, with the intention of selling life, health, or annuity contracts, exclusively offers coverage to themselves or their immediate family members, officers, directors, partners, stockholders, or employees of a company where a family member is employed. It may also include debtors of a company, association, or corporation where the agent holds a position as an officer, director, stockholder, partner, or employee. In such cases, these individuals obtain a license instead of marketing their services to the broader public.
- **Twisting** is the act of intentionally making false statements or giving inaccurate information or omissions about any insurance policies in order to convert an existing policy or obtain insurance from a different insurer.
- **Churning** is the illegal practice of inducing a client to purchase unnecessary insurance policies in order to generate commissions for the agent.
- **Unlawful rebates** refer to the act of offering a client something of value in exchange for purchasing insurance, which is illegal under insurance laws and regulations.

Remember!

A lie or an untruth is a misrepresentation. The law prohibits agents from making false statements.

Boycott, Coercion, and Intimidation (Reading 26.9.1.2):

Boycott: Refusing to do business with a person or company to force them into compliance or to harm their business.

Coercion: Using force or threats to influence someone's actions or decisions in the insurance market.

Intimidation: Using fear or threats to manipulate someone into acting against their will or best interests

Misrepresentation and False Advertising involves knowingly providing false or misleading information about insurance policies. (Reading 26.9.1.3)

Defamation refers to making false statements about a person or organization that harm their reputation. Defamation can include slander and libel. (Reading 26.9.1.4)

False Advertising involves knowingly making false or misleading statements in advertisements about the benefits, advantages, conditions, or terms of an insurance policy. (Reading 26.9.1.5)

Unfair Claims Practices refer to actions by insurance companies that are illegal or unethical, aimed at minimizing, denying, or delaying claims. (Reading 26.9.3)

Cease and Desist Orders and Other Penalties (Reading 26.9.11.3) are enforcement actions used by regulatory authorities to ensure compliance with laws and regulations in the insurance industry. Any person who violates a cease-and-desist order may be subject to one or more of the following:

- A penalty of no more than $50,000

- Suspension or revocation of such person’s certificate of authority, license, or eligibility to hold such.

Notes

Use this space to take additional notes on this topic during the live lesson.

IX. Life, Health, and Annuity Advertising

- What rules are in place to govern life, health, and annuity advertising? *(Reading: 26.10)*
  - The goal of life, health, and annuity advertising is to present buyers with clear and unambiguous claims while promoting such contracts.
    a. All advertisements must state the name of the actual insurer.
    b. Any contract invitation must include the form number.
- An **Advertising File** is something that must be maintained by each insurer and they must specifically include advertisements submitted to the insurer by agents, brokers, or others and submitted by the insurer for use. (Reading 26.10.4)

Notes

Use this space to take additional notes on this topic during the live lesson.

X. Key Concepts

Add notes or definitions for each of the key concepts in the **Notes** column next to the term.

Key Concept	Notes
Insurance regulatory agencies	
Chief Financial Officer	
Office of Insurance Regulation	
Insurance code	
Admitted versus non-admitted insurers	
Code of ethics of the NAIFA	
Agent responsibilities	

Rebating	
Misrepresentation	
Defamation	
Cease and desist order	
Viatical settlements	

XII. Check Your Understanding

Check your understanding of the topics covered in this unit by answering the following questions.

1. The _______ sits on the Financial Services Commission and oversees the insurance industry's practices in the State of Florida.
   a. Chief Insurance Commissioner
   b. Attorney General
   c. Chief Financial Officer
   d. Director of Financial Regulations

2. Which of the following is the responsibility of the Office of Insurance Regulation?
   a. Engaging in policing efforts to prevent unauthorized insurance activities.
   b. Suggesting legislative measures to regulate the insurance industry.
   c. Implementing new laws to regulate the insurance industry.
   d. Taking measures to enforce criminal penalties against individuals violating the Insurance Code

3. What is the major difference between producers acting as agents and producers acting as brokers?
   a. Agents represent the client, and brokers represent the company.
   b. Brokers are not required to follow the same laws and regulations as agents.
   c. Brokers represent the client, and agents represent the company.
   d. Brokers cannot solicit prospects for the purpose of selling insurance.

4. To qualify for an agent's license, an applicant must complete _____ hours of pre-licensing education.
   a. 30
   b. 40
   c. 20
   d. 24

5. Which term from the following options refers to the unethical practice of replacing a le insurance policy with a new one by providing false information or misrepresenting the facts?
   a. Twisting
   b. Rebating
   c. Promoting goods.
   d. Hiding

XIII. Key Concepts Answers

The following are the definitions for the Key Concepts listed for this unit.

Key Concept	**Notes**
Insurance regulatory agencies	Government bodies that oversee and regulate the insurance industry in a particular state or country
Chief Financial Officer	The elected official in the state of Florida who oversees the financial operations of the state and serves as the State Fire Marshal
Office of Insurance Regulation	A state agency responsible for regulating the insurance industry and enforcing insurance laws in the state of Florida
Insurance code	A set of laws and regulations governing the insurance industry in a particular state or country
Admitted versus non-admitted insurers	Admitted insurers are licensed to do business in a particular state or country and are subject to regulation by the state insurance department. Non-admitted insurers are not licensed in the state or country but may still provide coverage through surplus lines.
Code of ethics of the NAIFA	A set of ethical guidelines established by the National Association of Insurance and Financial Advisors (NAIFA) to govern the behavior of insurance agents
Agent responsibilities	The duties and obligations of an insurance agent, including acting in the best interest of the client, providing accurate and truthful information, and maintaining confidentiality
Rebating	Offering an inducement or incentive to a client in exchange for purchasing insurance
Misrepresentation	Providing false or misleading information to a client in order to induce them to purchase insurance
Defamation	Making false statements that harm the reputation of another person or business

XIV. Check Your Understanding Answers

1. The correct answer is **c. Chief Financial Officer.** The Chief Financial Officer sits on the Financial Services Commission and oversees the insurance industry's practices in the State of Florida.

2. The correct answer is **a. Engaging in policing efforts to prevent unauthorized insurance activities.** The Office of Insurance Regulation's responsibilities include policing against unauthorized insurance activities, in addition to supervising the setting of rates, approving policy forms, investigating market conduct, assessing solvency of the insurer, issuing insurer certificates of authority, regulating viatical settlements, regulating financial agreements for premiums, and supervising administration.

3. The correct answer is **c. Brokers represent the client, and agents represent the company.** The major difference is that brokers represent the client and agents represent the company.

4. The correct answer is **b. 40 hours.** An applicant must complete 40 hours of pre-licensing education.

5. The correct answer is **a. Twisting**. Twisting is the act of replacing life insurance with a new life insurance policy based on misrepresentations or incorrect information.